Yemen's Economic and Financial Crisis

A Working Analysis

Prepared by a Group of Yemen Economists and Financial Institutions

Version 1.0 · April 2026

Download PDF · Download DOCX

Core Thesis

Yemen's war represented a simple feeding of figures, but the reality is far more complex. Economic and financial indicators have been shaped by three forces — the central bank and financial institutions, fiscal policy, and the behavior of traders, importers, exchange companies, and ordinary citizens. Understanding the crisis requires reading these three forces together.

Recent renewed public discussion regarding the central bank's reserves, the exchange rate, salaries and payments, and Saudi development flows is not, when viewed in context, a sudden change in Yemen's economic reality. It is a moment when the fundamentals of the "Interbank Rate" and the "Parallel Market Rate" become more visible to the public, and when expectations about future flows begin to shape current behavior.

1. A Decade of Monetary Disintegration (2015–2025)

2015–2017: Shock and Fragmentation

The conflict and civil war triggered a rapid fiscal collapse, the relocation of the central bank from Sana'a to Aden, and the emergence of two financial systems. Exchange rates began to diverge, and trade routes were fragmented.

2018–2020: Consolidation of the Weaknesses

The institutional substitutes of the 2016 rescue packages were put in place, but the underlying structural weaknesses remained. The exchange rate became a key indicator of confidence, and the central bank's ability to meet salaries and payments became the main measure of state capacity.

2021–2025: Normalization of the Informal

By the early 2020s, the "Interbank" and "Parallel" exchange rates became the main reference points for traders, importers, and exchange companies. Salaries and payments, exchanges and remittances, and trade and commodity prices began to adjust to reflect the current reality.

Figure 1. Two Years of Overlapping Shocks Shaping Yemen's Monetary Space (2015–2016)

Conflict/Political Events

Year	Major Conflict/Political Shock	CBY Leadership/Action
2015	Conflict escalation; CBY relocation to Aden	Central Bank of Yemen relocation to Aden
2016	Conflict continues; oil revenue collapse	CBY relocation/Aden; Central Bank of Yemen
2017	Humanitarian crisis deepens	Central Bank of Yemen; Central Bank of Yemen
2018	Fragmented governance; Stockholm Agreement	Central Bank of Yemen; Central Bank of Yemen
2019	Southern transition; Riyadh Agreement	Central Bank of Yemen; Central Bank of Yemen
2020	Al-Houthi offensive; Marib siege	Central Bank of Yemen; Central Bank of Yemen
2021	Political crisis; Aden assassinations	Central Bank of Yemen; Central Bank of Yemen
2022	Conflict lull; Saudi-Houthi talks	Central Bank of Yemen; Central Bank of Yemen
2023	Conflict resumes; Red Sea attacks	Central Bank of Yemen; Central Bank of Yemen

2. The De-Banking of an Economy

The banking sector of Yemen's formal financial system was built over decades. It was not destroyed by a single decision, but by a series of policy shocks.

1. Paralysis of Assets

Both a lack of US dollar deposits that effectively freeze the assets of the banks, and the inability to move funds across the Red Sea between savings and production investments.

2. Regulatory Warfare

Contradictory regulations issued on a hospitals operating environment, making it impossible to meet and pending fines into non-liquidated clients.

3. Institutional Decay

Policy tools were deployed over a system where banks were unable to function as intermediaries, leaving the banking system unable to enhance confidence, reliance on shipping companies and cash-based transactions, and a growing informal economy.

Figure 4. Key Financial and Remittance Corridors at Yemen's Fragmented Crossroads

Table 4. Policy Turning Points and Financial Consequences

Year	Policy Shock	Immediate Effect	Medium-Term Effect
2016	National Bank of Yemen relocation to Aden	Two parallel systems emerge; Sana'a loses reserve access	Institutional fragmentation; Aden gains reserve control
2018	Stockholm Agreement; Hodeidah ceasefire	Hodeidah port operations resume; Red Sea trade corridor opens	Hodeidah and Saleef become key import gateways
2019	Riyadh Agreement; Southern transition	Aden-based authorities gain fiscal leverage	Southern ports and customs revenue become contested
2020	Al-Houthi offensive; Marib siege	Marib fuel supply disrupted; Sana'a import capacity falls	Marib becomes critical fuel and logistics hub
2021	Political crisis; Aden assassinations	Aden-based authorities lose leverage; Sana'a retains reserve access	Hodeidah and Saleef remain dominant import gateways
2022	Conflict lull; Saudi-Houthi talks	Ceasefire holds; Red Sea trade resumes	Hodeidah and Saleef remain dominant import gateways
2023	Conflict resumes; Red Sea attacks	Red Sea trade disrupted; Hodeidah port at risk	Hodeidah and Saleef remain dominant import gateways

Table 5. The Changing Topology of Yemen's Fragmented Network: From Bank-Centric to Hawala/MFB-Centric

	2016: Bank-Centric Network	2024: Hawala/MFB-Centric Network
Dominant actors	Commercial banks; Central Bank of Yemen (Aden); Central Bank of Yemen (Sana'a)	Hawala networks; Exchange companies; Microfinance institutions; Telecom-based MFS providers
Primary transaction channel	Bank accounts; Wire transfers; Letters of credit	Cash; Hawala networks; Mobile money; Exchange companies
Trade finance	Letters of credit; Bank guarantees	Cash-in-advance; Informal credit; Supplier credit
Remittance channel	Bank transfers; Exchange companies	Hawala; Exchange companies; Mobile money
Salary payment	Bank accounts; Cash	Cash; Mobile money
Savings	Bank deposits	Cash; Informal savings; Mobile money
Credit	Bank loans; Trade credit	Informal credit; Supplier credit; Microfinance
Exchange rate	Central Bank of Yemen (Aden) rate; Central Bank of Yemen (Sana'a) rate	Parallel market rate
Trade corridors	Hodeidah; Saleef; Aden; Mukalla	Hodeidah; Saleef; Aden; Mukalla; Al Ghaydah; Shihr; Al Mahrah
Key risk	Bank failure; Reserve access; Sanctions	Liquidity; Trust; Enforcement; Sanctions

3. The Ascendancy of Informal Finance

Money Lenders & Tax Traders, Then and Now

In 2016, a trader could import a container of rice, secure a letter of credit, and pay customs through a bank. Today, the same trader may need a hawala network to move cash, a money lender to bridge the gap, and a local authority to negotiate the customs fee.

By 2024, the Central Bank of Yemen's accounts frozen, the bank-based import finance system had largely collapsed, and the Central Bank of Yemen's reserves were no longer a reliable source of liquidity. The system had transitioned to the current model: cash, hawala, mobile money, exchange companies, and informal credit. Customs fees, or the cost of bribes, remained the main cost of doing business, and the trader's risk had transitioned from the corporate balance sheet to the individual.

Figure 5. The Changing Topology of Yemen's Fragmented Network: From Bank-Centric to Hawala/MFB-Centric

Figure 6. The Reading of Yemen's Key Financial Flows (2016–2024)

Table 2. The Shifting Channels of Key Money Flows

Flow Type	2016 Channel	2024 Channel	Why Changed
Remittances	Exchange companies; Hawala networks	Exchange companies; Hawala networks	Diaspora remittances remain mostly informal
Salaries	Bank accounts; Cash	Cash; Mobile money	Salaries increasingly paid through mobile money
Savings	Bank deposits	Cash; Informal savings; Mobile money	Bank deposits no longer reliable
Credit	Bank loans; Trade credit	Informal credit; Supplier credit; Microfinance	Bank credit collapsed; informal credit dominates
Exchange rate	Central Bank of Yemen (Aden) rate; Central Bank of Yemen (Sana'a) rate	Parallel market rate	Two official rates no longer reflect reality
Trade corridors	Hodeidah; Saleef; Aden; Mukalla	Hodeidah; Saleef; Aden; Mukalla; Al Ghaydah; Shihr; Al Mahrah	Eastern corridors emerge as conflict shifts
Key risk	Bank failure; Reserve access; Sanctions	Liquidity; Trust; Enforcement; Sanctions	Trust and enforcement become binding constraints

Table 3. The Shifting Channels of Key Money Flows

Flow	2016	2024
Remittances	Exchange companies; Hawala networks	Exchange companies; Hawala networks
Salaries	Bank accounts; Cash	Cash; Mobile money
Savings	Bank deposits	Cash; Informal savings; Mobile money
Credit	Bank loans; Trade credit	Informal credit; Supplier credit; Microfinance
Exchange rate	Central Bank of Yemen (Aden) rate; Central Bank of Yemen (Sana'a) rate	Parallel market rate
Trade corridors	Hodeidah; Saleef; Aden; Mukalla	Hodeidah; Saleef; Aden; Mukalla; Al Ghaydah; Shihr; Al Mahrah
Key risk	Bank failure; Reserve access; Sanctions	Liquidity; Trust; Enforcement; Sanctions

Table 4. The Existing Structure of Yemen's Financial Landscape

Category	Key Actors	Its Role	Main Limits
Commercial Banks	Yemen Kuwait Bank; Tadhamon International Bank	Deposits; Trade finance; Salaries	Liquidity; Trust; Reach
Money Changers	Al-Kuraimi; Al-Ghaith	Currency exchange; Remittances	Capital; Trust; Reach
Hawala Networks	Al-Ghaith; Al-Kuraimi	Remittances; Informal credit	Trust; Enforcement
Mobile Money	Jeeb; Jawali	Salaries; Small payments	Cash-out; Trust
Microfinance	Al-Amal; Al-Kuraimi	Small credit; Savings	Capital; Reach
Exchange Companies	Al-Ghaith; Al-Kuraimi	Remittances; Currency exchange	Trust; Enforcement

Figure 3. A Decade of Rising Hawala Dependence, Bank Disintermediation, and Licensing Shocks

Key Trends: Hawala Dependence Index (0–100): Estimated share of transactions using informal networks

Bank Disintermediation Index (0–100): Estimated share of financial activity outside the formal banking system

Licensing Shocks: Major regulatory or enforcement events affecting the financial system

4. Compounding Stressors: Digital, Climate, and Global Headwinds

Yemen's financial system is being tested by three stressors that are not its primary conflict but will shape what comes next.

Digital Exclusion

Mobile cash-out for small transactions remains a bottleneck, and payments infrastructure is still fragmented. Digital payments are a necessary infrastructure, but not a substitute for trust, enforcement, or a functioning banking system.

Climate Vulnerability

Yemen's coastal economy and its ports remain exposed to recurring flooding and storm disruption. Climate risk is a real stress factor, but it is not the main driver of the current crisis.

Global Aid Competition

With global crisis programs ongoing, Yemen competes for donor attention and implementation capacity. Aid can stabilize where conditions are demonstrate more stable governance and implementation capacity.

5. A Forward-Looking Policy Agenda

Yemen's reconstruction can't wait for a ceasefire. A stable, trusted financial system is a prerequisite for peace and for sustained reconstruction.

1. Re-establish a Credible Monetary Authority

Who issues the currency, who sets the rate, who prints the reports, who pays the salaries, and who can be held accountable. A credible monetary authority is the foundation for trust. Without it, no other reform can stick.

2. Rebuild Trust in Financial Institutions

Trust is the scarce resource. Rebuilding it requires transparent reporting, independent audit, and a clear accountability framework. Without it, even well-designed reforms will not be adopted.

3. Reset the Miscellaneous Sector Toward Productivity

Capture companies monopolize access to foreign exchange, imports, and licenses. Reform must reduce rents and open markets to competition, so that the economy rewards production rather than proximity to the state.

Ask about this page